

Table 73.9 Busted Patterns

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout
Busted patterns count	182 or 31%	42 or 24%	89 or 32%
Single bust count	88 or 48%	26 or 62%	63 or 71%
Double bust count	72 or 40%	10 or 24%	3 or 3%
Triple+ bust count	22 or 12%	6 or 14%	23 or 26%
Performance for all busted patterns	−15%	−17%	39%
Single busted performance	−21%	−23%	53%
Non-busted performance	−14%	−20%	38%

Trading Tactics

Table 73.10 shows trading tactics.

Measure rule, targets. For upward breakouts, the target price is the highest high in the wedge. For downward breakouts, calculate the height of the wedge from tallest peak to lowest valley and subtract the height from the breakout price. If the target is below zero, then ignore it. If the target is a large percentage away, then price will likely miss the target.

The bottom portion of the table shows how often price reaches the full height target. For downward breakouts, you might want to divide the height in half before subtracting it from the breakout price. If you do that, price reaches the target 47% of the time. That's still not great.

Once you have a target picked, compute the percentage distance between the target and the current price. Then use [Table 73.3](#) to determine how likely it'll be for price to exceed the target.

For example, if the target is \$5 away from a current price of 50, that's a 10% move. In bull markets, after upward breakouts, [Table 73.3](#) says that